Brazil Macro Monthly

Additional cost deflation allows lower rates sooner

- The recent drop in commodity prices should favor global disinflation. The Fed turned more dovish, and rate cuts are likely to be brought forward, although we maintain our structural view and expect the Fed funds rate to stabilize at 3.0-3.5%.
- In Brazil, economic activity has shown weaker dynamism in recent months but is expected to gradually recover. We continue to forecast GDP to grow by 1.5% in 2024. We lifted our projection for 2025, to 2.0%, in line with the scenario of further interest rate cuts.
- We expect a public sector deficit of 2.3% of GDP in 2023. The approval of the government's package of measures to increase revenue reduced the expected deficit to 0.6% of GDP in 2024, still far from the primary balance target.
- Ballooning trade surplus and a dovish Fed should lead to FX appreciation. We now anticipate BRL/USD 4.70 for YE 2024. Our projection for YE 2025 stands at BRL/USD 4.90. The current account deficit is expected to reach 1.3% of GDP this year, well below its historical average.
- The benign disinflation process advances. Further global disinflation led us to cut our projection for the 2024 IPCA to 3.7%, given lower exchange rate and commodity prices. Our 2025 IPCA forecast remains at 4.0%.
- Stronger BRL and lower IPCA forecasts open room for the Selic rate to reach the neutral level earlier: we now expect 9.00% in 2024 - 100 bps below our previous forecast. For 2025, we see the policy rate stable at 9.00%. The expansionary bias of fiscal and quasi-fiscal policies remains the main risk for the monetary policy outlook.

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XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.0	1.5	2.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.3	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.7	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	9.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.86	4.70	4.90
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.6	-1.1
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.6	-1.0
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	75.2	78.0	80.6
Trade Balance (USD Bn)	35.2	50.4	61.4	62.1	98.8	86.0	88.5
Exports (USD Bn)	221.1	209.2	280.8	334.8	337.3	342.0	355.0
Imports (USD Bn)	185.9	158.8	219.4	272.6	238.5	256.0	266.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-53.6	-27.1	-32.0	-42.5
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.8	-1.2	-1.3	-1.7
FDI (USD Bn)	69.2	37.8	46.4	87.2	58.0	67.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.5	2.7	2.8	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,179	2,400	2,520
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,808	11,404	12,136

Source: IBGE, BCB, Bloomberg, XP

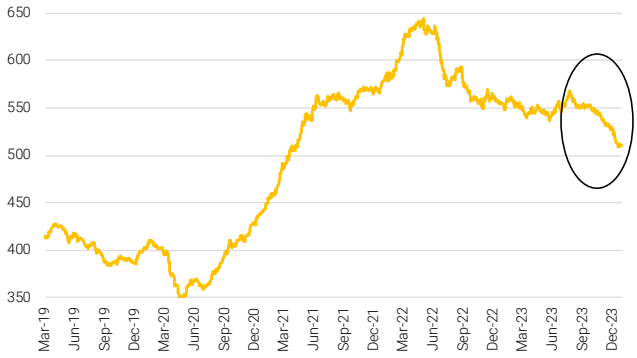
Foreword – New round of global disinflation pushes Brazilian constraints further away

Commodity prices engaged in a downward trend in 2023 Q4 after being roughly stable for more than one year, which should extend the global cost-push deflation seen last year. The CRB All Commodities Index, for instance, fell 8% since late September (see chart), driven by gasoline, sugar, milk, among others. We had not anticipated this fall in our baseline scenario, which, in turn, considered that commodity prices would remain stable.

This is good news for central banks, as it helps bring consumer price inflation further down even with activity and labor markets still solid.

Additional drop in commodity prices should favor global disinflation

CRB all commodities Index (1967=100)



Source: Bloomberg, XP

In this context, and considering the recent dovish signaling from Chair Powell, we brought forward our expectation of when the Fed will begin its easing cycle from Q3 to Q2. We also see a somewhat weaker US dollar globally, particularly against EMs.

Lower commodity prices could be bad news for exporters like Brazil. But Brazilian import prices are falling even more than export prices, which, in turn, has been supported by higher iron ore prices. Additionally, the Brazilian quantum exported is ballooning, driven by record-high agriculture output in 2023 and rising oil production.

Under those circumstances, we reduced our 2024 IPCA inflation forecast to 3.7% (4.1% before) and now see a stronger BRL (4.70 reais to the dollar vs. 4.85 before). It opens room for the Central Bank to extend the easing cycle, reaching the neutral level sooner: we now expect the Selic rate to reach 9.0% in 2024 - 100 bps lower than before. For 2025, we see the policy rate stable at 9.0% (same as before).

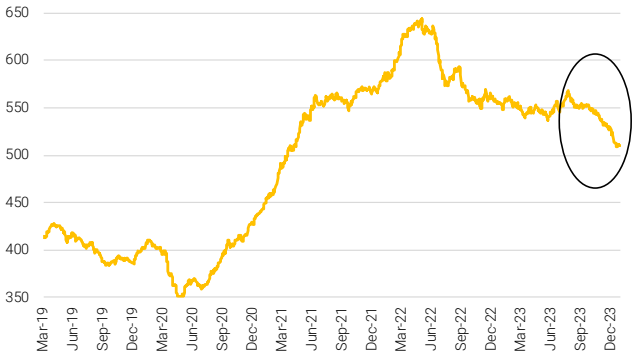
We are still worried about the expansionary bias of the fiscal policy both domestically and globally. This tends to put pressure on inflation expectations, not only because of the impact of higher expenditures on aggregate demand, but also due to rising public debt over time (historically, Brazil faces higher inflation to adjust for deteriorating fiscal dynamics). But considering the fresh external impulse and some recent improvements on the revenue side (see fiscal session below) – the negative effects of unbalanced fiscal policy should appear later, most likely in the second half of the presidential mandate.

Global backdrop – Rate cuts brought forward, although our structural view remains

Francisco Nobre

The latest drop in commodity prices should favor global disinflation. Commodity prices engaged in a downward trend in 4Q23 after being roughly stable for more than one year. If persistent, the recent drop tends to be beneficial for the final stage of global consumer price disinflation. The CRB All Commodities Index, for instance, fell by 8% since late September (see chart), driven by gasoline, sugar, milk, among others. Still, commodity price levels remain historically high, which should keep terms of trade favorable for their exports. Going forward, we believe that energy and agricultural commodities should fluctuate at around current levels, while we attribute a downward bias to metals.

Additional drop in commodity prices should favor global disinflation
CRB all commodities Index (1967=100)



Source: Bloomberg, XP

The Fed turned more dovish. The December FOMC meeting changed the expected path for monetary policy in 2024. The committee removed its hiking bias and opened the discussion on when rate cuts should start. Thus, we brought forward our forecast for the kickoff of the easing cycle to 2Q24 from 3Q24. **We now see the Fed cutting rates by a total of 150 bps in 2024, starting in May.** This implies that the Fed funds rate will end next year at 4.0%, still in contractionary territory amid a sticky final stage of disinflation and a resilient labor market.

We expect the policy rate to stabilize between 3.0%-3.5% in 2025, which we consider the new neutral level for the medium term (unchanged from our prior estimate). We believe the deteriorating US government fiscal outlook will lead to higher rates than those seen in the post-2008 financial crisis period. Our base case scenario entertains 25-bps cuts throughout the easing cycle, although the Fed may opt to accelerate the pace should economic activity weaken more than expected.

USD weakens amid lower US rates
DXY dollar index

Source: Bloomberg, XP

An earlier-than-expected US monetary easing cycle should benefit EM currencies, and, ultimately, allow other central banks to bring their rate cuts forward.

We expect assets to remain volatile in the short term. First, we think it is still too early for the Fed to put its guard down given that (1) core and super core inflation remain high and have even reaccelerated recently; (2) the labor market remains tight; (3) wage growth remains above levels consistent with the convergence of inflation to target; (4) economic activity has not yet shown convincing signs of weakening; and (5) fiscal policy is expected to remain

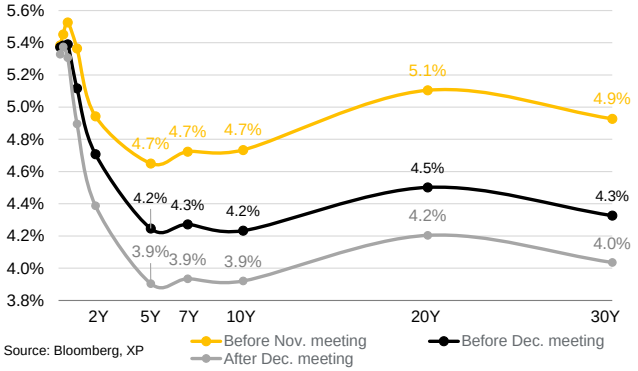
expansionary throughout 2024. Second, the presidential campaign tends to be polarized and populist, spurring additional uncertainties on long-term fiscal sustainability.

Thus, long-term Treasury yields – arguably the most important asset price in the world - will likely remain sensitive to incoming data and information, given lingering uncertainty regarding the trajectory of monetary policy ahead.

Central banks in Europe ended the year with a much more hawkish tone than the Fed. The December monetary policy meetings from the ECB and the BoE suggest that the policymakers in the region are determined to keep rates elevated for longer to ensure the convergence of inflation to target. Still, inflation has been cooling, while activity has shown more clear signs of weakness, which might force central banks to start easing monetary policy before mid-year (our long-held base case scenario).

In China, additional stimulus may boost growth in the short term, although we still see weakening growth ahead. The Chinese government announced additional fiscal support in order to boost its economic recovery. The government emphasized that it would focus on sectors that support long-term development, such as education and technology. Additionally, The Chinese Central Bank (PBoC) kept rates unchanged last month, although they announced a record liquidity injection of 800 billion yuan (112 billion dollars), which should help contain the crisis in the real estate sector. These efforts may continue to support growth in the short term, although real GDP growth should fall below the 5% mark in the coming years.

US Treasury yields react to the dovish Fed
US Treasury yield per tenor



Source: Bloomberg, XP

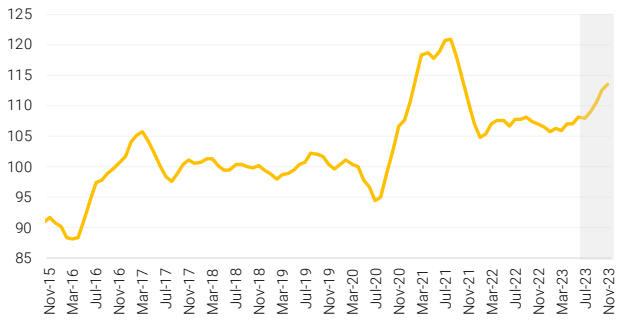
BRAZIL – Additional cost deflation allows lower rates sooner

External Accounts – Stronger BRL due to ballooning trade surplus and a dovish Fed

Rodolfo Margato

Brazilian trade surplus keeps surprising to the upside. Terms of trade engaged in a rising trend in the second half of 2023, since import prices have fallen more than export prices. Moreover, export volumes have been skyrocketing, boosted by record agricultural production and crude oil extraction. We see this trend continuing in 2024. Accordingly, we now expect the Brazilian trade balance to reach USD 85.0 billion this year (previous: USD 75.0 billion),

Additional gains in terms of trade throughout the 2H23
Export Prices / Import Prices. 3MMA.



Source: Funcex, XP

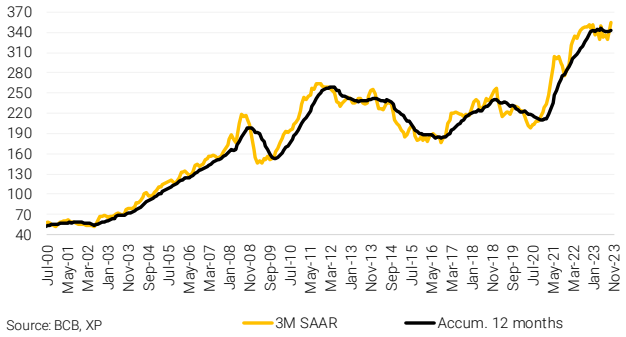
following the all-time high of more than USD 95.0 billion last year.

We reduced our current account deficit forecast for 2024, to 1.3% of GDP from 1.7% of GDP (see table). In addition to the aforementioned better prospect for the trade balance, we also anticipate lower net outflows of primary income and virtual stability of the deficit in the services account (see table). Bear in mind that the average current account deficit was around 3.0% of GDP from 2010 to 2022.

A healthier balance of payments and a dovish Fed should lead to a stronger BRL: we revised our exchange rate forecast to BRL/USD 4.70 in 2024 yearend, from BRL/USD 4.85 before. Brazil is a low-savings country, and thus should run a current account deficit. Hence, the recent improvement in the balance of payments numbers should be consistent with a stronger BRL. Besides, the Fed will probably cut interest rates earlier than we previously expected (see the Global Backdrop section above). Under these circumstances, our FX models now point to BRL/USD 4.70 at the end of 2024. We believe that the Brazilian exchange rate could run at even stronger levels in the short term.

For 2025, we forecast the exchange rate at BRL/USD 4.90, not far from what is suggested by the expected inflation differential between Brazil and the US in the period.

Exports continue to rise sharply, contributing to record trade surpluses
Values in USD Bn



Source: BCB, XP

XP Forecast (US$ Bn)

Balance of Payments Accounts	2022	2023	2024	2025
Trade Balance	44.1	79.8	71.5	67.5
Exports	*340.3*	*344.0*	*342.5*	*350.0*
Imports	*296.2*	*264.2*	*271.0*	*282.5*
Services	-39.6	-37.5	-39.0	-43.0
Primary Income	-61.9	-70.6	-67.0	-69.5
Secondary Income	3.7	1.2	2.5	2.5
Current Account	-53.6	-27.1	-32.0	-42.5
Current Account (% GDP)	-2.8	-1.2	-1.3	-1.7
Foreign Direct Investment	87.2	58.0	67.0	75.0
Foreign Direct Investment (% GDP)	4.5	2.7	2.8	3.0

Source: Central Bank of Brazil, XP

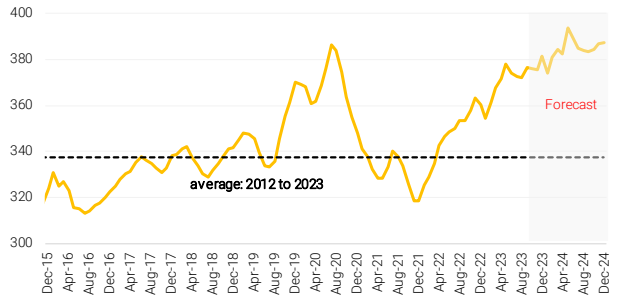
Activity – Low dynamism in late 2023, gradual recovery in 2024

Rodolfo Margato

Activity indicators have surprised negatively in recent weeks. Real service revenues fell for the third consecutive month in October, with a widespread worsening across categories. Retail sales also dropped in the month, frustrating recovery projections. Meanwhile, industrial production data confirmed the stagnation of the manufacturing sector.

Accordingly, our tracker for 4Q GDP – high-frequency estimate – points to -0.1% QoQ. This represents a downward bias to our official projection of a 0.1% QoQ gain in the period and, consequently, to the 3.0% increase expected for the full-year 2023 GDP. In a nutshell, recent data have proven the slowdown in domestic activity, with virtual stability of GDP in the second half following a strong expansion in the first half.

Real household disposable income is expected to increase by around 3% in 2024, supporting consumption
BRL Bn, seasonally adjusted, 3MMA



Source: IBGE, BCB, Caixa Economica, MDS, XP

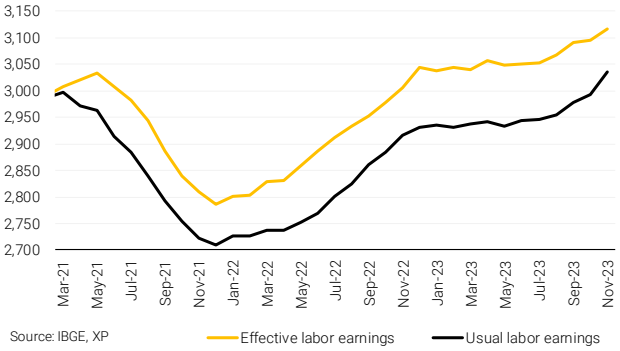
We foresee a gradual recovery throughout 2024. Sectors less sensitive to the economic cycle (especially agriculture) should remain at high levels, but their contribution to GDP growth will be significantly lower. We anticipate a 1% drop in Agriculture and Livestock GDP in 2024, after a jump of around 16% in 2023. Furthermore, the dissipation of "post-pandemic" impulses, particularly for service activities, helps explain the outlook of more moderate economic growth ahead. Nonetheless, we believe that domestic activity will gain steam over the next quarters, in line with the monetary easing cycle (thus, gradual improvement in credit conditions) and the resilience of the labor market, which provides support for consumption.

Therefore, we continue to project a 1.5% increase for 2024 GDP. Our baseline scenario considers a statistical carry-over effect of only 0.2% from 2023 GDP and an average quarterly growth of 0.5% QoQ.

Unemployment rate at around 8% and additional increase in real disposable income. The employed population has risen at a modest pace in recent months, a trend that is expected to persist this year. Hence, we anticipate that the unemployment rate will rise from 7.8% at the end of 2023 to 8.3% at the end of 2024 (seasonally adjusted estimates). In turn, real labor earnings have grown above expectations in the latest monthly releases and as pointed out by the Central Bank, should be closely monitored in the short term. The expansion of the aggregate wage bill combined with the court-ordered debt payments (see section on Fiscal Accounts) will lead to a rise in real household disposable income of circa 3% this year, following the impressive increase of around 6% last year.

We raised our projection for 2025 GDP growth, to 2.0% from 1.8%. The upward revision reflected our expectation of further cuts in the benchmark Selic rate throughout 2024 (see section on Monetary Policy) and their lagged effects on economic activity.

Real wages above expectations in recent months cause special attention in the conduct of monetary policy
Real average labor earnings (BRL/month)



Source: IBGE, XP

XP Forecasts (%)

GDP Breakdown	2022	2023	2024	2025
Agriculture & Livestock	-1.1	16.2	-1.2	3.0
Total Industry	1.5	1.3	0.9	1.6
Total Services	4.3	2.5	1.8	2.2
Total GDP	**3.0**	**3.0**	**1.5**	**2.0**
Household Consumption	4.1	3.3	1.4	2.1
Government Consumption	2.1	1.4	1.1	1.3
Gross Fixed Capital Formation	1.1	-3.1	1.7	2.5
Exports	5.7	8.8	2.9	2.3
Imports (-)	-1.0	-1.1	1.3	1.9

Source: IBGE, XP

Public finance – 2023 with a high deficit, 2024 still far from the target

Tiago Sbardelotto

2023 should end with one of the largest primary deficits of recent decades. Our updated estimate points to a central government primary deficit of BRL 235.5 billion (2.2% of GDP) compared to BRL 240.1 (2.2% of GDP) in the previous month, in the 'above-the-line' view. 'Below the line' (the method considered in the fiscal target rule), the deficit

should have reached BRL258.6 billion (2.4% of GDP). If confirmed, this will be the third-largest deficit in the historical series, only behind 2016 and 2020. Most of the result can be attributed to extraordinary factors, such as the payment of overdue court-ordered debts (BRL 93.1 billion) and transfers to states and municipalities to compensate for losses due to the ICMS tax change (BRL 17.4 billion).

Recurrent deficit is estimated at BRL 140.7 billion (1.3% of GDP). Even excluding one-off negative effects – such as court-ordered payments - we still see a significant deficit last year. This shows that there is a structural imbalance in the public accounts, which will continue to require a major effort in terms of increasing revenue (since expenditure continues to grow above inflation).

2024 estimate improves with the approval of revenue measures: we have reduced our primary deficit projection from 0.8% to 0.6% of GDP. The government successfully gained approval for almost all the revenue-raising measures sent to Congress together with next year's budget bill. In particular, the change in ICMS subsidies could stem more revenue than initially estimated, since it included the payment on the stock of incorrectly classified subsidies, as well as new rules for interest on equity (IoE). As a result, the 2024 deficit should be BRL 73.3 billion (0.6% of GDP), lower than what we estimated in the previous report (BRL 91.6 billion or 0.8% of GDP).

Looking forward, risks seem balanced. The government recently announced that it will limit the use of tax credits for tax compensation to 30% of total stock per year. This measure could increase net revenue in the short term, but there is a high risk of an increase in lawsuits. On the expenditure side, we believe that social security benefits and assistance to the elderly and disabled are underestimated and are likely to reduce the government's room for possible cuts.

The 2024 target could be met with spending freezing in line with the original version of the fiscal framework. The lower bound of the fiscal target range in 2024 is a primary deficit of BRL 28.8 billion. If the government were able to freeze the total amount defined in the first version of the new fiscal framework (25% of discretionary spending, or approximately BRL 53 billion), it would be possible to reach that value. However, as the government agreed with the Congress to add a cap on the amount of the spending that can be frozen, the target will most likely not be met (and will probably be changed throughout the year).

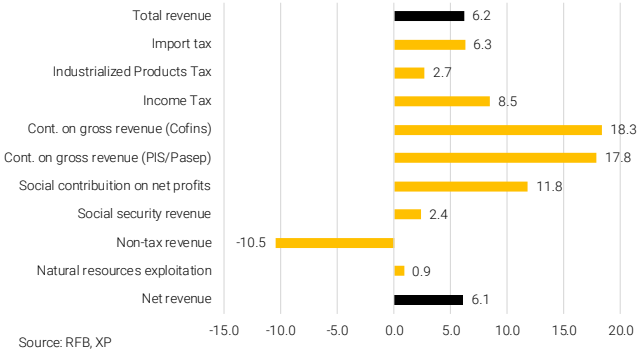
2025 looks even farther from a surplus. On the one hand, several non-recurring revenues in 2024 will not be repeated

Government approved all measures included in the budget bill — BRL Bn

Measure	2024 budget bill	XP forecast
ICMS subsides for investments	35.3	50.1
Online betting taxation	1.6	2.0
Simplified regime on imports	2.9	2.0
Exclusive funds taxation	13.3	9.4
Taxation of investiments abroad	7.0	7.0
Change in interest on equity (IoE) rules	10.4	2.0
Tax credits recovery on CARF	54.7	30.0
Tax transaction	43.2	0.0
Review of railway concession contracts	34.5	2.0
Transfer pricing	0.0	11.7
CEF judicial deposits	0.0	15.0
Total	**203.0**	**131.2**

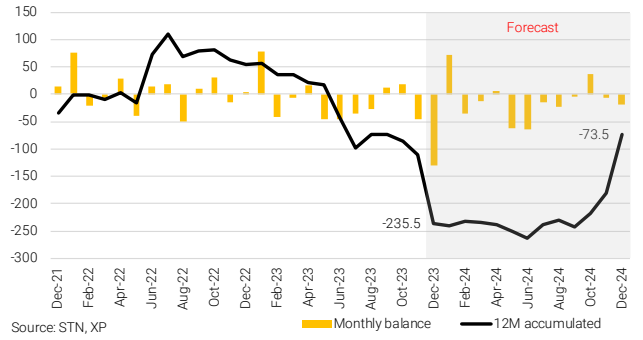
Source: PLOA 2024, XP

Measures approved in Congress should boost revenue in 2024
Real change (%), forecast



Source: RFB, XP

Despite the recovery in the primary balance in 2024, it is expected to remain far from the zero target
Central government primary balance (BRL Bn)



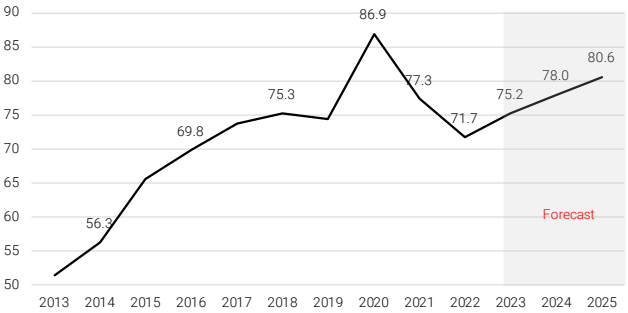
Source: STN, XP

in 2025. On the other hand, there are additional expenses, such as the payment of court-order debt (outside the limit and the primary balance target). As a result, we expect a deficit of BRL137.9 billion (1.1% of GDP).

The consolidated public sector (including states, municipalities, and state-owned companies) remains in negative territory. States and municipalities will continue to be under pressure over the next few years due to the combination of weaker tax collection (despite the increase in transfers from the Federal Government) and above-inflation spending. Therefore, we estimate a deficit of BRL 244.5 billion in 2023 (2.3% of GDP), BRL 67.6 billion in 2024 (0.6% of GDP), and BRL 124.9 billion (1.0% of GDP) in 2025.

Public debt continues to rise. The better 2024 primary deficit forecast and the expectation of lower the Selic rate (see monetary policy section) help but are not enough to stabilize the public debt. We project that the gross debt-to-GDP ratio will reach 75.2% in 2023 (75.3% before), 78.0% in 2024 (78.1% before), and 80.6% in 2025 (80.7% before). Our calculations suggest that for debt-to-GDP ratio to stabilize government needs to run 1.8% primary surplus.

Better 2024 primary results does not prevent public debt from rising
General Government Gross Debt (% of GDP)



Source: BCB, XP

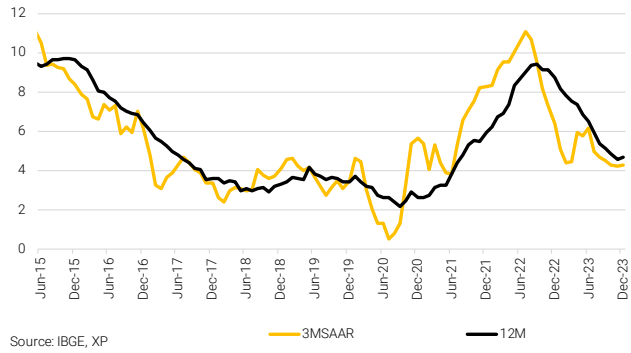
Inflation – Exchange rate and commodities contribute to lower inflation in 2024

Alexandre Maluf

Inflation 'takes off' in December, and IPCA should end 2024 at 4.6%. But underlying disinflation continues. The December mid-month IPCA-15 came above market expectations, with a strong upward surprise in airfares. As a result, 2023 inflation should print at 4.6%. However, underlying inflation gauges continued to recede. The underlying services metric slowed to 4.7% last year (from 8.7% in 2022), while the average core inflation rate fell to 4.4% (from 9.1% in 2022), with the 3M SAAR running at 3.2%. Thus, the benign disinflation process advances in Brazil, although IPCA continues to run above the 3.0% target.

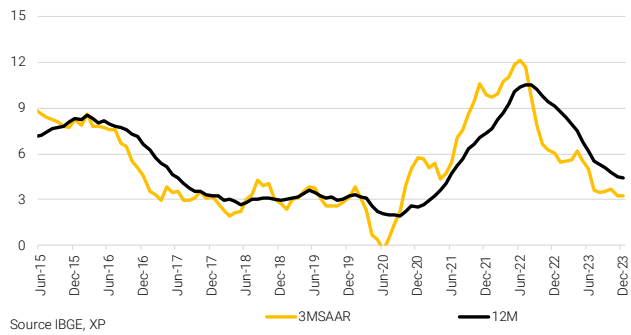
Further global disinflation led us to cut our projection for the 2024 IPCA from 4.1% to 3.7%. Since mid-October, industrial commodity prices have fallen by around 4% in dollar terms, while agricultural commodity prices have fallen by 15%, mainly due to lower sugar prices. The pass-through across consumer goods should be reflected after two to three quarters, according to our models, lowering industrial inflation in the first half of 2024. In addition, we now see a stronger exchange rate this year (see the 'External Sector' section), which also contributes to taming our projection for

Underlying services inflation stabilizing at around 4.0%...
IPCA-15 (%)



Source: IBGE, XP

...while average core inflation continues to converge to the 3.0% target
IPCA-15 (%)



Source IBGE, XP

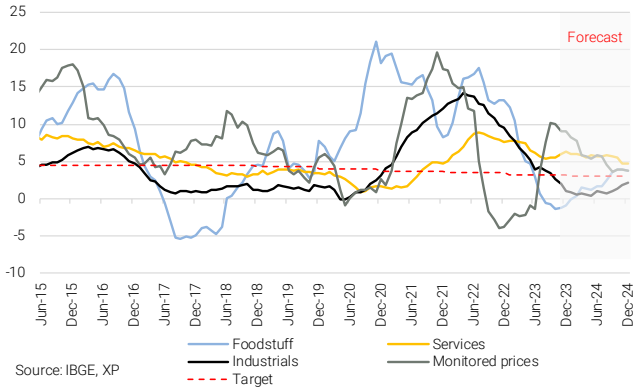
the IPCA, especially for tradable goods. **Thus, we trimmed our projection for industrial goods inflation in 2024 to 2.1% from 2.8% and for food at home to 3.7% from 4.6% (see table).** We still see services inflation at 4.7% (4.0% for the underlying services group). Lower goods inflation would have led to a reduction in services inflation as well, but this effect is offset by stronger 'real disposable income' growth because of the payment of court-ordered debts.

Finally, relevant states such as São Paulo, Rio Grande do Sul and Minas Gerais have not increased their ICMS rates as we thought they would. This factor reduces our projection for the IPCA this year by 0.05 p.p..

We have also lowered our 2024 projection for monitored goods, from 4.1% to 3.8% due to gasoline. We assume that Petrobras will cut gasoline prices by 5% in the first half of the year (we previously expected this to be in December 2023), with an impact of -0.10pp on the IPCA for the year. Although oil and oil products prices have risen in recent weeks, reflecting geopolitical tensions, we consider that the fundamentals still point to more moderate prices ahead. For energy bills, we raised our projection to 6.3% from 5.7% by incorporating news of higher readjustments by companies.

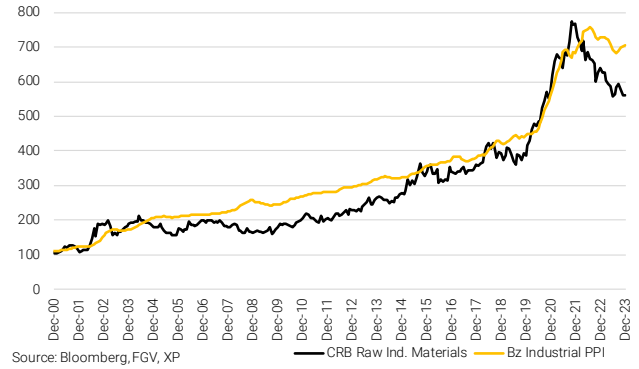
2025 IPCA forecast remains at 4.0%. Despite lower inflationary inertia for next year, our Selic rate trajectory has been revised downwards, reducing this effect. In addition, global disinflation of goods should dissipate by the end of this year, and fiscal and parafiscal policy with an expansionary bias should be reflected in an additional deterioration of medium-term inflation expectations.

IPCA components should be more homogeneous in 2024, ending the year at around the target
IPCA 12M (%)



Source: IBGE, XP

Commodity prices indicate low cost-push inflation in 2024
Jan/00 = 100



Source: Bloomberg, FGV, XP

Monetary Policy – Global disinflation should offset fiscal risks in the short term, allowing neutral rates earlier than we expected

Caio Megale

For a while, we kept an above-consensus Selic rate in 2024 because we believed that expansionary fiscal policy would demand a still restrictive monetary policy throughout the next year. Thus, real interest rates should remain above 5.0% - the level we see as neutral.

Global cost-push deflation, however, took another lag in recent months, as we described in the global session above. This will help consumer price inflation to continue falling in 2024, offsetting heated labor markets, expansionary fiscal policy, and other idiosyncratic inflationary risks (it is true for Brazil as well as for the US).

Annual change (%) — XP Forecasts

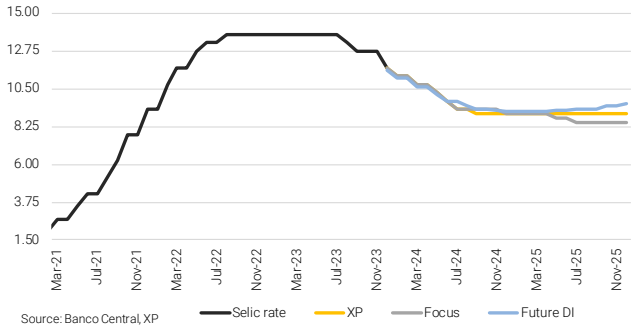
IPCA Groups	2023		2024	
	Prior	Current	Prior	Current
Monitored prices	8.9	9.1	4.1	3.8
Market-set prices	2.9	3.0	4.1	3.7
Food at home	-0.8	-0.9	4.6	3.7
Industrials	1.1	1.0	2.8	2.1
Services	5.9	6.3	4.7	4.7
IPCA headline	**4.4**	**4.6**	**4.1**	**3.7**

Source: IBGE, XP

Domestic factors also help in short-term disinflation, particularly the **sound and resilient monetary policy conduct from the Brazilian Central Bank** and some **progress in revenue measures** in recent weeks (see fiscal session above) – although higher tax burden also put pressure on consumer prices in the short term.

Dressed to the nines. Under those circumstances, we reduced our 2024 IPCA inflation forecast to 3.7% (4.1% before) and now see a stronger BRL (4.70 reais to the dollar vs. 4.85 before). It opens room for the Central Bank to extend the easing cycle, reaching the neutral level earlier: we now expected the Selic rate to reach 9.0% in 2024 - 100 bps below our previous forecast. For 2025, we see the policy rate stable at 9.0%, the same level as we expected before.

Moving towards the consensus
Selic forecasts, annual (%)



Source: Banco Central, XP

XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.0	1.5	2.0
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.3	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.6	3.7	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	9.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.86	4.70	4.90
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.4	-0.6	-1.1
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.3	-0.6	-1.0
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	75.2	78.0	80.6
Trade Balance (USD Bn)	35.2	50.4	61.4	62.1	98.8	86.0	88.5
Exports (USD Bn)	221.1	209.2	280.8	334.8	337.3	342.0	355.0
Imports (USD Bn)	185.9	158.8	219.4	272.6	238.5	256.0	266.5
Current Account (USD Bn)	-68.0	-28.2	-46.4	-53.6	-27.1	-32.0	-42.5
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.8	-1.2	-1.3	-1.7
FDI (USD Bn)	69.2	37.8	46.4	87.2	58.0	67.0	75.0
FDI (% GDP)	3.7	2.6	2.8	4.5	2.7	2.8	3.0
Nominal GDP (USD Bn)	1,873	1,475	1,670	1,951	2,179	2,400	2,520
Nominal GDP (BRL Bn)	7,389	7,610	9,012	10,080	10,808	11,404	12,136

Source: IBGE, BCB, Bloomberg, XP

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